

I recall an example from the middle 1970s in Atlanta. I was counseling two doctors who were partners together in various real estate ventures. They had the opportunity to buy an apartment complex for about half of its appraised value. All it required was a minimal down payment of \$50,000 and signing for the mortgage, which was \$1,500,000.

They assured me there was no way the investment could go bad because they could make money with the complex only 50 percent occupied, and it had never been less than 80 percent occupied. The only hitch was they had to personally endorse the note. In other words, they personally indemnified the lender against any losses. Against my counsel, they both signed the note.

About two years later it was discovered that the complex had urea formaldehyde insulation in the walls and ceiling. It was condemned, and health officials required that the entire structure be torn down. The insurance paid for a portion of the loss, though it did not cover it all. The doctors were able to sell the land for another portion. But when it was all finished, they together personally owed nearly half a million dollars.

One of the doctors went bankrupt. The other, who was a Christian, decided that he could not go bankrupt and committed to repayment of the loan. As best I know, he's still paying on it. The investment itself was good. The deal was excellent. The only difficulty was that they had to sign personally, which is surety.

Remember the wisdom of Proverbs 22:26: "Do not be among those who give pledges, among those who become sureties of debts." My counsel is: don't sign surety, no matter how good the deal sounds.

25 KEY #3: EVALUATE RISK AND RETURN

An important factor in investing is called the "risk versus return" ratio. The guideline is: the higher the rate of return, the higher the degree of risk. You can lower the risk by education